GOSHEN INVESTMENTS LIMITED
versus
FLORENCE NDIEDZEI MUYAMBO
and
PRINCE MADZIMA

HIGH COURT OF ZIMBABWE
MUZENDA J
MUTARE, 28 May and 10 June 2026

SPECIAL PLEA

Mr *C Chibaya*, for the applicant
Mr *E Majaya* with Mr *G Chibanda*, for the respondent

MUZENDA J:

1.0. On 18 December 2025 plaintiff brought an action against the two defendants seeking the following relief:

1.1. Specific performance where it demanded that first defendant issue proper instructions to her United Kingdom lawyers for the transfer of No. 244 Odessa Road, Forest Gate, London E7 9DY, United Kingdom, to it.

Or in case of failure to discharge performance, in the alternative,

1.2. £465 000 or its equivalent in United States Dollars, representing the agreed value for damages arising from breach of contract by the first defendant.

1.3. *£6 339.75 or its equivalent in United States Dollars being legal and professional fees paid on behalf of the first defendant to United Kingdom professional service renderers for the facilitation of the transaction.*

1.4. *Payment of £1 500 or its United States Dollars per month, being rental income due to the plaintiff from September 2025, which the (first) defendant has failed to pay and which shall continue to accrue monthly until the date of determination of this suit.*

1.5. *Payment of £587.28 being the amount paid by the plaintiff towards the insurance policy for the property in the United Kingdom on behalf of the first defendant, which payment constitutes unjust enrichment, as the property has not been transferred to the plaintiff.*

1.6. *Payment of USD 5 000 being amount received by the second defendant as commission for facilitating the transaction which he failed to perform, thereby being unjustly enriched at the expense of the plaintiff.*

2.0. **Defendants' Special Plea**

2.1. On 8 April 2016 both defendants pleaded in bar in terms of r 42(2) of the High Court Rules, 2021 stating that:

2.1.1. The High Court of Zimbabwe does not have jurisdiction over plaintiff's claim. According to defendants' recourse regarding the dispute over title of the said property is governed by Clause 7.2(a)(b)(iii) of the agreement which provides that any dispute shall first be submitted to mandatory mediation through a neutral third party approved by the parties in writing and unresolved dispute within 60 days shall be finally settled by the courts of England and Wales. It was further pleaded by the defendants that plaintiff should simply seek an order compelling first defendant to pass title to No 244 Odessa Road, Forest Gate, London E79 DY to the plaintiff than seeking specific performance.

2.1.2. Defendants also alleged that plaintiff failed to exhaust internal remedies. Parties agreed on mediation first in the event of a dispute and to the defendants the summons are premature. On this special plea, defendants pray that the summons be struck off with costs on a higher scale.

2.1.3. Second defendant is of the position that plaintiff's summons do not disclose a cause of action against him. Second defendant believes that he was just but a mere agent who facilitated the agreement. To second defendant plaintiff does not seek specific performance against him and he (second defendant) does not have powers to effect transfer. Second defendant feels that he is not a party to the contract between plaintiff and first defendant

and he cannot be privy to the contract. Overally, defendants urge this court to have the matter struck off the roll with costs on a higher scale.

3.0. **Plaintiff's response to the special plea**

3.1. Plaintiff concedes that a dispute over the property's title per se is governed by Clause 7.2(b)(ii). Plaintiff is seeking in the alternative damages. Plaintiff seeks to rely on Clause 5.5 of the Addendum to Swap Agreement which plaintiff believes entitles it to institute legal proceedings if first defendant fails to dispatch the required instructions timeously, without need for mediation.

3.2. On the issue of mediation, in plaintiff's view, regardless of its lawyers sending correspondences first defendant was silent exhibiting lack of interest to negotiation. The alternative exhaustion of internal remedies though exercised by the plaintiff did not work since first defendant chose to ignore plaintiff's legal practitioner's communication.

3.3. On the lack of cause of action against second defendant, plaintiff contends that second defendant was unjustly enriched by accepting payment for work he never completed at the expense of plaintiff. Plaintiff prayed for the dismissal of defendants' special pleas with costs on a higher scale.

4.0. **Background Facts**

4.1. First defendant is Florence Ndiedzei Muyambo of 4 North Road, Fern Valley, Mutare. Second defendant is Prince Madzima who facilitated the drafting negotiation and represented first defendant in Zimbabwe. He was paid a commission for the work he did by the plaintiff's representative.

4.2.0. **The Swap Agreement**

4.2.1. Plaintiff and first defendant entered into a swap in Zimbabwe where plaintiff relinquished a private school known as King David Academy (Private) Limited, a name bearing the forename of plaintiff's representative, David Shorai Dzumbira in return, first defendant had to do away with a United Kingdom immovable property namely No 244 Odessa Road, Forest Gate, London a property first defendant owned.

4.3. In terms of the swap, plaintiff would transfer ownership and possession of the school to first defendant, fist defendant would in exchange convey and transfer ownership of the United Kingdom property to the plaintiff company, second defendant undertook to complete all necessary formalities to give effect to the exchange and second defendant would be paid a commission.

4.4. Plaintiff has since transferred ownership and possession of the private school to first defendant who is already enjoying full benefits from the school but dragging to effect change of title to the plaintiff of the United Kingdom immovable property. The failure, refusal and neglect of the first defendant to transfer the house pushed the plaintiff to approach this court for the relief sought.

5.0. **Defendant's Submissions**

5.1. Defendants submitted that this court lacks jurisdiction because of the provisions of Clause 7(2) of the Deed of Gift Equity and as well as the Reciprocal Asset Transfer entered between plaintiff and first defendant. To the defendants' counsel parties agreed that in the event of a dispute, parties were to have mandatory mediation and that has to be through a neutral third party appointed by the parties. It is on this footing that defendants contend that plaintiff failed to exhaust local remedies and directed the court to the matter of *Sithole* v *Senior Assistant Commissioner and others* HB 17/10.

5.2. It is also the submission of the defendants that the High Court of Zimbabwe has jurisdiction as regards King David Academy Shares and tax and exchange central compliance in Zimbabwe. On the other hand, according to defendants in terms of Clause 7.2(b)(ii) of the Deed all disputes relating to UK property title or Goshen transfer of shares fall in the realm of England and Wales jurisdiction. The perception nursed by defendants is that all the claims arising from plaintiff's declaration relate to the transfer of the UK property and plaintiff's entry point is closed by Clause 7.2. a different court should entertain those claims and not this court.

5.3. It was further submitted on behalf of the second defendant the agent, that plaintiff does not have a suitable cause of action against him. No privity of contract exists between the plaintiff and second defendant; it was further argued; second defendant alluded to the case *Mavenganise Svondo* v *Kevin James Sadwell & Revco (Pvt) Ltd* HB 142/18 "B" and second

defendant's position is that plaintiff cannot sue second defendant over a contract plaintiff entered into with first defendant. Second defendant prays that plaintiff's claim be dismissed with costs on legal practitioner-client scale.

6.0. **Plaintiff's Submissions**

6.1. To the *contra*, it was submitted by plaintiff's counsel that the High Court of Zimbabwe enjoys jurisdiction over plaintiff's claim. It is the firm position of the plaintiff that it is not only claiming specific performance but has added an alternative claim of damages. The plaintiff feels that Clause 5.5 of the Addendum to Swap Agreement ("the Addendum") permits plaintiff to sue defendants in Zimbabwe. In plaintiff's further view Clause 1 of the Addendum states that its provisions are binding but the Addendum entitles plaintiff to institute legal proceedings for damages and or specific performance in the event that first defendant fails to dispatch instructions to UK for transfer of the property. It was further submitted by plaintiff that the agreement cannot oust this court's jurisdiction basically because of a contractual agreement and the plaintiff cited the matter of *Svondo* v *Kevin James Shadwell* (*supra*).

6.2. It was further contended on behalf of the plaintiff that although it is common cause that the immovable property is situated in UK its claims relate to *in rem* actions against an immovable property, to the plaintiff specific performance is an *in-persona* action, which can be entertained by the local courts since both defendants are Zimbabwean residents.

6.3. On the aspect of internal remedies being exhausted or not exhausted, plaintiff further submitted that Clause 5.5 modified Clause 7 granting plaintiff to litigate without recourse to mediation. Plaintiff added further its lawyers wrote correspondences to first defendant's legal practitioners and no response was activated. It is on this basis that plaintiff contended that first defendant should not be allowed to benefit from her own wrong in seeking to rely on a mediation clause.

6.4. On the aspect of lack of cause of action against the second defendant it was further argued that's second defendant was unjustly enriched by reaping a commission for an incomplete assignment. Plaintiff's counsel prayed for the dismissal of defendant's special plea with costs on a punitive scale.

7.0. **Analysis of the Case**

7.1. Plaintiff is claiming specific performance calling first defendant to give her lawyers or agent to process transfer to the plaintiff. According to the plaintiff all efforts to secure first defendant to instruct lawyers to pass ownership did not produce progress. Defendants contend that any matter relating to title falls outside this court's jurisdiction. However, the subject cause of action is not the aspect of registration of title alone but that if title is no longer feasible the first defendant should pay damages. The plaintiff concedes to the interpretation of Clause 7.2(b) but goes to qualify its claim by stating that plaintiff has brought up a hybrid summons action of both specific performance or payment of damages arising out of breach.

7.2. In the matter of *Ncube* v *Mpofu and Ors* 2006 (2) ZLR 41 (H) per Ndou J it was held at 41 F-G:

"*A contract is performed by a party when he has done all that he is obliged to do under obligation*"

At 42 B-C it was further held:

"*that prima facie every party to a binding agreement who is ready to carry out his own obligation under it has right to demand from the other party, so far as it is possible, a performance of his undertaking in terms of the contract. The court may in appropriate circumstances order payment of damages instead*."

7.3. In my view therefore plaintiff is claiming a relief of first defendant giving instructions to her lawyers to initiate change of ownership in fulfilment of a swap and alternatively that first defendant pay damages in leu of the breach. I am fully aware that there is a specific clause contained in the party's agreement pertaining to the issue of the title over the immovable property in the United Kingdom. It is also common cause that an arbitration clause contained in a contract takes precedent of first choice to the parties (*See Isaac Chiduku and Ors* v *A Chiduku* SC 56/24) but in this case there is a clear distinction in that plaintiff is not exclusively looking to compel or drive first defendant to perform her contractual obligations but has brought a hybrid claim combining specific performance and alternatively payment of damages.

7.4.The representative of plaintiff is ordinarily domiciled in Zimbabwe, the first defendant is a Zimbabwean citizen by birth and the school dispute is situated within this court' jurisdiction and part of the contract relate to immovable property locatable in Zimbabwe, this is a case where it was held in *Beckford* v *Beckford* 2006 (2) ZLR 377 (H) at 378 G-H.

"*that the courts in this country, like the courts in the United Kingdom, do not abdicate their responsibilities in favour of foreign courts, where they may be situated and however, competent they may be perceived to be.*"

I am mindful of the sanctity of contract principle and also that if the plaintiff succeeds on the specific performance, it would be up to it now to execute the judgment. On the other hand, if plaintiff is awarded damages first defendant owns executable property situate in Zimbabwe. Had it only been specific performance in relation to the UK immovable property surely the special plea on lack of jurisdiction would have been unassailable. I therefore make a finding that the special plea on jurisdiction of this court lacks merit and it is dismissed.

8.0. Second defendant raised a special plea on the doctrine of privity of contract. Indeed, it is legally common cause that *per se* second defendant is not a party to a contract between plaintiff and first defendant. However, the plaintiff alleges that second defendant was paid US$5000 commission for negotiating, drafting and facilitating the contract. Plaintiff claims that the cause of action *vis-à-vis* the second defendant lies in the claim for damages against second defendant for failure by second defendant to facilitate the contract to finality as per the agreement. According to plaintiff if the second defendant is not joined plaintiff would suffer prejudice of US$5000 and second defendant will be unjustly enriched. Whether that argument is sustainable and accepted by the trial court is business of the other day. It appears to me at this stage that plaintiff has set adequately facts that justify why second defendant was joined in the summons and declaration filed by the plaintiff. It will be too early to exclude and absolve the second defendant. It is my view further that matters ought to be resolved after hearing all the evidence adduced by all parties as well as the applicable law then a valid judgment is given as a product of due process.

9.0. On the question of costs, there is no need to rush the issue when the matter is destined towards trial, hence costs will be in the cause.

10.0. Accordingly, the following order is granted.

10.1. Defendants' special pleas lack merit they are both dismissed with no order as to costs.

10.2. *Defendants to file their plea or other pleadings within 10 days from the date of this order.*